Acme Technologies, Inc. - Q3 2024 Financial Report

Quarter Ended September 30, 2024

1. EXECUTIVE SUMMARY & FINANCIAL HIGHLIGHTS

Acme Technologies, Inc. delivered strong operational performance in the third quarter of fiscal year 2024, driven by accelerated cloud enterprise adoption and expanded platform services.

Key Financial Results for Q3 2024:
- Total Revenue: $42.5 million, representing a 28% year-over-year increase compared to Q3 2023.
- Gross Margin: 74.2%, up 180 basis points compared to the prior quarter.
- Net Income: $8.2 million, compared to $5.9 million in the corresponding period last year.
- Operating Cash Flow: $11.4 million.
- Total Headcount: 480 full-time employees globally as of September 30, 2024.

2. OPERATING EXPENSES BREAKDOWN

The company continued disciplined investments in engineering and go-to-market execution:
- Research and Development (R&D): $12.1 million, focused on scalable vector search and natural language processing pipelines.
- Sales and Marketing (S&M): $14.8 million, driven by North America enterprise sales team expansion.
- General and Administrative (G&A): $6.2 million.

Management reaffirmed guidance for sustained profitability heading into the final quarter of 2024.

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Products, Operations, and Customer Success

3. PRODUCT PERFORMANCE & CLOUDSCALE ADOPTION

On August 15, 2024, Acme Technologies officially launched its flagship enterprise product line: CloudScale Intelligence Suite.

CloudScale Metrics for Q3:
- CloudScale Annual Recurring Revenue (ARR): Reached $15 million within its first six weeks of general availability.
- Enterprise Customers: 142 enterprise customers signed contracts with average annual contract value (ACV) of $105,000.
- Platform Uptime: Maintained 99.98% platform service availability across all regions.

4. CUSTOMER RETENTION & EXPANSION

Customer retention metrics remained strong throughout the quarter:
- Enterprise Net Revenue Retention: 118% across recurring enterprise accounts.
- Enterprise Customer Retention Rate: Stood at 94.0% at the close of Q3 2024.
- Customer Satisfaction (CSAT): Measured at 4.7 out of 5.0 across resolved support tickets.

5. BALANCE SHEET AND LIQUIDITY
Cash, cash equivalents, and short-term marketable securities totaled $68.4 million with zero outstanding long-term debt obligations.